Off-Policy GRPO for Online Speculative Decoding

MSAI-635 Interim Report

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1 Introduction and Scope

Speculative decoding lets a small *draft* model propose K tokens that a large *target* model verifies in one forward pass; verification keeps the longest correct prefix plus one target token, so the output is exactly the target's. The speed-up depends almost entirely on the mean acceptance length $\bar{\tau}$ (accepted draft tokens per verification step). Our proposal argued that the drafter should be trained *online*, on the traffic it serves, and proposed replacing the usual forward-KL distillation loss with an off-policy GRPO objective that rewards accepted length directly.

Change of plan since the proposal. The published online-training system (Aurora) targets Qwen3-8B on several 80 GB GPUs and depends on a CUDA-only stack. We first need a forward-KL baseline that we fully control, so the project has two phases:

1. **Base-paper reproduction (nearly complete):** online EAGLE-3 draft training, scaled down to Qwen3-0.6B and run with PyTorch's MPS backend on Mac laptops. The draft model, loss and data code are reused from the paper's release; the serving and orchestration layers are our own.
2. **GRPO extension (next):** the off-policy GRPO objective from the proposal, built on the reproduction. The system already logs the quantities GRPO needs: per-round accepted length (the reward) and, for every round, the served draft version and the trainer's version (the staleness Δ).

2 Progress So Far

The reproduction is split into nine work items, each with a concrete "done when" criterion (Table 1). Seven are complete and merged; the online system and its evaluation run end to end.

Data. The paper's mixed-domain training data is private, so we built public replacements: 1000 conversations each from ShareGPT (chat), CodeAlpaca-20k (code) and GSM8K (math), filtered to start with a user turn and to fit in 1024 tokens. From these pools we emit three request streams: *mixed* (3000 requests, shuffled), *ordered* (3000, grouped by domain) and *domain-shift* (1200: 600 chat, then 300 code, then 300 math). The draft predicts a reduced 24K-token vocabulary (out of Qwen3's 152K), built from assistant-token frequencies on the mixed stream.

Models. The target is Qwen3-0.6B (596M parameters), with auxiliary hidden states captured from layers 1, 13 and 24. The EAGLE-3 draft is a single Llama decoder layer (hidden size 1024) fed by a linear fusion of the three auxiliary states (3072→1024) and the token embedding: 42.4M trainable parameters (24.6M in its 24K-row output head) plus a frozen 155.6M-parameter embedding copied from the target. Training uses a three-step test-time-training (TTT) unroll with loss $\sum_i 0.8^i \mathcal{L}_i$, where $\mathcal{L}_i$ is the cross-entropy against the target's soft distribution at unroll step i.

Static baseline. No public EAGLE-3 draft exists for Qwen3-0.6B, so we trained one offline on the chat pool, holding out its last 100 conversations: AdamW at 10^{-4}, warmup plus cosine, effective

Table 1: Reproduction work items and their status.

Work	Done-when criterion	Status
Mac environment, device layer (CUDA → MPS → CPU), EAGLE-3 code installed without CUDA-only dependencies	Draft and EAGLE-3 modules import; parser and vocab tests pass	Done
Public datasets (chat, code, math), three request streams, 24K draft-vocab mapping	Streams and cached mapping on disk	Done
Qwen3-0.6B target with auxiliary hidden-state capture; EAGLE-3 draft and trainer step on MPS	Draft overfits one batch in 200 steps; time and memory measured	Done
Offline static EAGLE-3 baseline trained on held-in chat data	$\bar{\tau}$ clearly > 0 on held-out chat	Done
Speculative-decoding server: draft, verify, accept, KV cache, logging, training samples, weight hot-swap	Greedy output token-identical to plain decoding on 50 prompts	Done
Online loop: sample pool, trainer, versioned weight publish; sync and async; day-0 and with-draft starts	$\bar{\tau}$ rises over 300 day-0 requests	Done
Metrics, latency bench, CSV/summary writer, plots, online losslessness regression test	Plots and tables from the run logs	Done
Controlled experiments: domain shift, ordered stream, sync interval, learning rate, sync vs. async	Results table and figures	Next
Scale check on a CUDA GPU with Qwen3-1.7B/4B	Same code runs on CUDA	Optional

batch 8, fp32 weights, gradient checkpointing, 8 epochs (896 steps, 19 minutes). The 170 MB checkpoint is published as a GitHub release with a SHA-256 checksum, so every member starts from identical weights. It is both the *static* baseline and the starting point for *with-draft* online training.

Inference server. An HF-transformers draft–verify loop at batch size 1. Each round the draft proposes $K = 3$ guesses and the target scores them in one pass using a `DynamicCache` (cropped on rejection), with greedy (exact argmax match) or speculative-sampling ($\min(1, p/q)$, residual resampling) acceptance. It logs per-round accepted lengths and draft versions, emits training samples, and can load new draft weights between requests.

Online loop. The server's training samples go into a bounded *sample pool* (128 samples, kept on the CPU); serving blocks when the pool is full rather than dropping samples. A separate *online trainer* owns its own fp32 copy of the draft and runs the static-baseline recipe on batches from the pool at a constant learning rate (10^{-4} day-0, 10^{-5} with-draft). Every N steps it *publishes* a copy of its weights into a single pending slot, versioned by its step count; the server applies it before its next request. In *sync* mode the loop alternates between serving B requests and training M steps. In *async* mode a serving thread and a training thread run concurrently; because MPS aborts when two threads issue GPU work at once, a FIFO device lock serialises their GPU calls. Every request records the trainer's version, so staleness Δ is exact.

Evaluation tooling. All metrics are recomputed from a run's request and training logs: rolling $\bar{\tau}$, per-position acceptance α_i, acceptance rate, tokens/s against target-only decoding, the estimated speed-up $(1 + \bar{\tau})/(1 + Kc)$, staleness and the loss curve. A latency bench measures c, the cost of one draft step relative to one target step. Output is CSV, JSON and plots. The repository has 68 tests, including losslessness under live weight swaps in sync and async modes.

3 Notional Architecture

Figure 1 shows the system as built. The GRPO extension changes only the trainer's loss and adds tree drafting to the drafter, to produce groups of rollouts; everything else is reused. Compared with the paper's deployment, the multi-GPU serving engine, transfer store, cluster scheduler and sharded trainer are replaced by an in-process pool, a single-device trainer and an in-memory publish slot; the target shrinks from 8B to 0.6B, the draft vocabulary from 32K to 24K, and K and the TTT

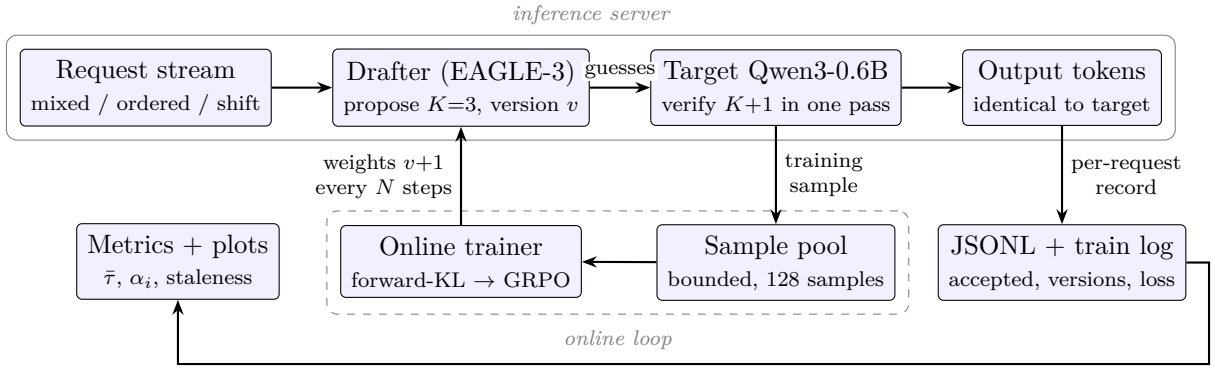


Figure 1: System architecture (all components implemented). The trainer's objective is forward KL in the reproduction and off-policy GRPO in the extension.

length from 5 to 3.

4 Frameworks and Libraries

- **PyTorch 2.14** on the MPS backend (Apple GPU), eager mode with SDPA attention; tests also run with CPU fallback disabled. Python threads for the async loop.
- **Hugging Face** `transformers` 4.57.1 (target model, `DynamicCache`, chat templates), `datasets` and `huggingface_hub` (ShareGPT, CodeAlpaca, GSM8K), `accelerate`, `safetensors`.
- **Paper's EAGLE-3 code** (installed without its CUDA-only dependencies): draft model, TTT wrapper, target-feature hooks, vocab mapping, conversation parser.
- **Tooling:** `uv` with Python 3.12, `pytest`, `matplotlib`, a Docker CPU image, a cloud CUDA notebook for an independent GPU check, GitHub releases for checkpoints and one issue / PR per work item.

5 Baselines and State of the Art

Lineage. Speculative decoding with lossless verification (Leviathan et al.; Chen et al., 2023) uses a separate small LM as the draft. Medusa adds parallel decoding heads to the target. The EAGLE family drafts from the target's own hidden states; EAGLE-2 adds dynamic draft trees, and EAGLE-3 fuses low-, mid- and high-level features and trains with a test-time-training unroll. EAGLE-3 is the state-of-the-art drafter and the one we use. Online Speculative Decoding first proposed distilling the draft on live traffic, and Aurora turns this into a unified training–serving system with asynchronous weight hot-swap; this is the method we reproduce. GRPO is the critic-free RL objective our extension adapts.

Systems we compare. All are evaluated on the same streams and decoding settings: (1) **target only**, the speed-up reference; (2) **static EAGLE-3**, the frozen offline draft ("train offline, then deploy"); (3) **online day-0**, online forward-KL training from a random draft; (4) **online with-draft**, online forward-KL training from the static draft; (5) **ours**, off-policy GRPO with a forward-KL anchor, with the ablations from the proposal (synchronous on-policy GRPO, $\Delta = 0$; group size G; KL weight β; clipping and truncation thresholds; reward shaping).

Planned experiments. Day-0 online training against target-only on the mixed stream (done, below); static vs. with-draft under the chat→code→math domain shift, measured as the area under the rolling-$\bar{\tau}$ curve after each shift; the same on the ordered stream; and sensitivity to the sync interval $N \in \{5, 20, 50\}$, the learning rate, and sync vs. async training. The headline metric is $\bar{\tau}$, which does not depend on hardware; we also report α_i, measured and estimated speed-up, and the

Table 2: Draft training and cost. Accuracy is teacher-forced (draft argmax equals target argmax) at TTT steps 1/2/3 on the 100 held-out chat conversations.

Draft training	Result
Overfit 1 batch (200 steps): loss	9.87→0.851 (floor 0.849)
Overfit 1 batch: accuracy	0.99 / 0.99 / 0.98
Static, epoch 1: accuracy (step 1)	0.183
Static, epoch 2: accuracy (step 1)	0.245
Static, epoch 8: accuracy	**0.310 / 0.270 / 0.248**
Plateau	after epoch 6
8-ep. $\bar{\tau}$, MPS vs. CUDA-trained	0.313 vs. 0.315

Cost	Time / memory
Train step 4×1025, fp32	720 ms / 9.9 GB
Same, bf16 + ckpt	503 ms / 7.2 GB
Batch 2 + ckpt	– / 2.4 GB
Target step (1 token)	27.5 ms
Draft step	2.7 ms ($c = 0.099$)
Verify pass (4 tokens)	30.0 ms
Online loop peak, fp32 / bf16	7.5 / 6.0 GB

Table 3: Speculative serving with a fixed draft. α_i is the share of rounds whose first i guesses were all accepted, so $\bar{\tau} = \alpha_1 + \alpha_2 + \alpha_3$. The first two rows are sanity bounds.

Draft	Requests	$\bar{\tau}$	$\alpha_1/\alpha_2/\alpha_3$	tok/s (spec. vs. target)	Lossless
Untrained, KV cache	50 stream	0.00	–	33.4 vs. 59.9	50/50
Overfit (upper bound)	50 stream	2.60	–	122.3 vs. 59.9 (2.0×)	50/50
Static, 2 epochs	100 held-out	0.181	0.164 / 0.016 / 0.001	29.1 vs. 54.9 (0.53×)	100/100
Static, 8 epochs (baseline)	100 held-out	**0.313**	**0.242 / 0.058 / 0.013**	**32.1 vs. 54.8 (0.59×)**	**100/100**

staleness distribution.

6 Evaluation Results (Prototype)

All runs use MPS on Mac laptops, greedy decoding, $K = 3$, fp32 target and draft, and up to 128 new tokens, unless stated. Different runs used different laptops, so tokens/s is only compared within a run. Table 2 covers the draft on its own; Table 3 the server with a fixed draft; Tables 4 and 5 and Figure 2 the online loop.

What the numbers say.

1. **Correct by construction.** Output is token-identical to target-only decoding on all 450 checked requests, including 300 during which the draft's weights were replaced 30 times.
2. **Online learning works from scratch.** With 150 steps on about 34K completion tokens, the day-0 draft reaches 80% of the static draft's $\bar{\tau}$, which needed 896 offline steps; it is still rising at request 300 and learns fastest on math, whose text is the most predictable. Starting from the static draft skips this warm-up entirely. Precision does not change $\bar{\tau}$ (fp32 and bf16 curves match).
3. **Acceptance is almost all at the first guess.** Guesses 2–3 are built on the draft's own hidden states and a chain stops at the first miss, so teacher-forced accuracy (0.31 / 0.27 / 0.25) overstates live α_2, α_3. These positions are where an acceptance-based reward differs most from forward KL.
4. **Staleness is small and harmless:** 0–4 steps (mean 1.96), with losslessness through every swap.
5. **Still slower than the target alone.** A round costs about 2.2–2.3 target steps but yields only $1 + \bar{\tau}$ tokens, so break-even needs $\bar{\tau} \approx 1.2$–1.3. The estimate (0.89×) beats the measurement (0.53×) because it omits the 4-token verify pass, the draft re-reading its growing context (no draft KV cache yet) and per-round overhead.

Relation to published results. Table 6 shows the gap. It is expected: our drafts have seen thousands rather than hundreds of thousands of training conversations, we draft one chain of $K = 3$ instead of a tree, a 0.6B target makes the draft's relative cost large ($c \approx 0.1$), and MPS at batch

Table 4: Online runs on the mixed stream, sync mode, one optimizer step per 2 requests (each sample used once), publish every 5 steps. $\bar{\tau}$ is over the first and last 50 requests; the bf16 run did not check losslessness.

Run	Start	LR	Req.	Steps/swaps	$\bar{\tau}$ first→last	Time (train)	Peak	Lossless
Day-0, fp32	random	10^{-4}	300	150 / 30	**0.039→0.246**	55 min (2.3)	7.5 GB	**300/300**
Day-0, bf16	random	10^{-4}	300	150 / 30	0.038→0.247	39 min	6.0 GB	–
With-draft (smoke)	static	10^{-5}	20	–	≈0.26 at once	–	–	–

Table 5: Day-0 fp32 run by domain (104 chat, 100 code, 96 math). Speed is relative to target-only decoding of the same requests; the estimate is $(1+\bar{\tau})/(1+Kc)$ with $c = 0.099$. "Thirds" is $\bar{\tau}$ over the first vs. last third of each domain's requests.

	$\bar{\tau}$	Thirds	$\alpha_1/\alpha_2/\alpha_3$	tok/s (vs. target)	Est. speed-up	Δ mean / max	Lossless
chat	0.090	0.050 → 0.126	0.087 / 0.003 / 0.000	13.6 (0.45×)	0.84×	2.08 / 4	104/104
code	0.144	0.074 → 0.226	0.137 / 0.006 / 0.000	19.1 (0.58×)	0.88×	1.92 / 4	100/100
math	0.227	0.115 → 0.318	0.204 / 0.019 / 0.003	19.7 (0.61×)	0.95×	1.89 / 4	96/96
all	0.152	–	0.141 / 0.009 / 0.001	16.9 (0.53×)	0.89×	1.96 / 4	300/300
first 50	0.039	–	0.038 / 0.000 / 0.000	–	–	–	–
last 50	**0.246**	–	**0.215 / 0.028 / 0.003**	–	0.96×	–	–

size 1 lacks the kernels and batching of production servers. We therefore compare systems *against each other* on the same setup, with $\bar{\tau}$ as the headline metric.

7 Issues Faced

Solved.

- **Compute and CUDA-only stack:** scaled down to Qwen3-0.6B on MPS with our own server, pool, trainer and publish slot, while reusing the published draft, loss and data code unchanged.
- **No public draft, private data:** trained our own EAGLE-3 draft on public data; ShareGPT filters drop 939 threads that start mid-conversation and 613 longer than 1024 tokens.
- **Draft-vocab coverage:** 16K covered only 97.6% of assistant tokens (others can never be drafted); 24K covers 0.993 / 0.995 / 0.998 (chat / code / math) for 8.2M more parameters.
- **Memory:** 4×1K-token batches needed 9.9 GB (draft logits × 3 TTT steps); batch 2 with gradient checkpointing trains in 2.4 GB, and the whole online loop peaks at 7.5 GB, so it fits a 16 GB laptop.
- **Precision:** pure-bf16 AdamW lost 2–3 accuracy points (small updates round away), so the trainer always keeps fp32 weights and checkpoints reload in their trained dtype. In bf16, a 4-token verify pass rounds differently from 4 single steps and can flip near-ties, so losslessness checks run in fp32 (450/450 pass).
- **Threads on MPS:** MPS aborts when two threads use the GPU at once; async mode serialises GPU calls with a FIFO device lock.
- **Sharing checkpoints:** the static draft is a GitHub release with a SHA-256 checksum.

Open.

- **No wall-clock speed-up yet.** Levers: higher $\bar{\tau}$ (more online training, GRPO), a draft KV cache, and tree drafting.
- **Train/test overlap in the streams.** The 600 chat requests of the domain-shift stream, and 900 of the 1000 chat requests in the mixed stream, were static-baseline training prompts. This does not affect day-0 runs, but before the domain-shift comparisons we must rebuild the chat segments from held-out conversations or report on unseen requests only.

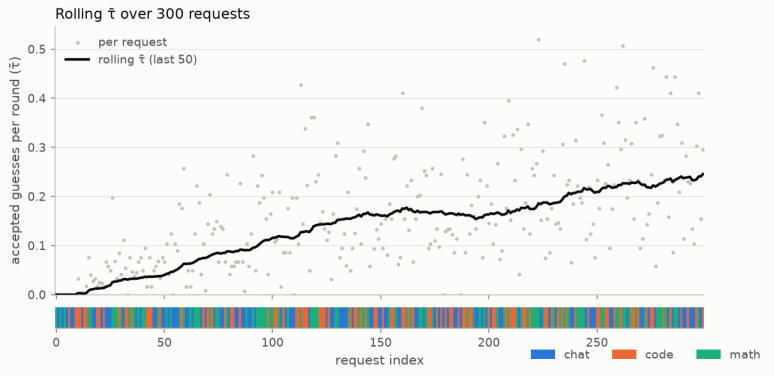


Figure 2: Day-0 online run: per-request $\bar{\tau}$ (dots) and rolling $\bar{\tau}$ over the last 50 requests, with each request's domain underneath.

Table 6: Our results next to typical published figures (approximate, larger targets and tree drafting). Acceptance length is tokens per target pass, $1 + \bar{\tau}$.

System	Target	Tokens per target pass	Speed-up
Classic speculative decoding, Medusa (published)	7B–70B	∼2–3	∼2–3×
EAGLE-2 / EAGLE-3, tree drafting (published)	8B–70B	∼4–6	∼3–6×
Ours, static draft (chain, $K = 3$)	0.6B	1.31	0.59×
Ours, day-0 online, last 50 requests	0.6B	1.25	0.53× (whole run)

- **Single-device asynchrony.** With the device lock, "async" on one GPU interleaves rather than overlaps serving and training, so staleness is real but smaller than with separate serving and training GPUs.
- **Hardware variance.** A fanless laptop slowed ∼12% over an hour (the speed ratio held at 0.53–0.54), so we only compare speeds within a run.
- **GRPO prerequisites.** Groups of rollouts need tree drafting (top-$k > 1$), which is not yet implemented, and $K = 3$ gives a shorter reward range than $K = 5$.

8 Next Steps

1. **With-draft run:** 300 mixed requests from the released static draft, with the same settings as the day-0 run, for a direct comparison.
2. **Controlled experiments**, after removing the stream overlap: static vs. day-0 vs. with-draft on the domain-shift and ordered streams, and sweeps over N, learning rate and sync vs. async.
3. **GRPO extension:** tree drafting for groups; reward $R(a) = L(a) - \lambda\kappa(K - L(a))$ from the logged accepted lengths; the off-policy objective with truncated importance weights and the forward-KL anchor, using the logged staleness; and comparison against systems 2–4 above.
4. **Scale check (optional):** the same code on a CUDA GPU with a larger target, to check that the trends carry over.